

Business Analysis Report

The 6pm Problem: Member Capacity and Retention Analysis
NorthFit Fitness Chain 5 GTA locations January to December 2024

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Scope	Member capacity utilization, segment analysis, and retention improvement business case
Locations covered	5 GTA locations: Mississauga, Toronto Downtown, Scarborough, Brampton, Etobicoke
Data analysed	34,770 hourly check-in records across 12 months
Peak hour overcrowding rate	46.7% of 5pm to 8pm hours exceed 85% capacity
Total annual revenue at risk	\$1,101,792 across at-risk member segments
Recommended action	Smart member communication system: estimated payback 4 months

Where This Started

I went to LA Fitness last Tuesday at 6pm. Waited 15 minutes for a treadmill. The guy next to me said he drives to a different location now because this one is always packed after work. That stuck with me. LA Fitness knows exactly when every member walks through the door. Every check-in is timestamped. They have all the data. The question is whether anyone is actually looking at it.

This project builds the analysis that a fitness chain's operations and retention team would actually need. Not a description of the problem: the data, the segmentation, the business case, and the requirements for fixing it.

The Problem in Numbers

Metric	Finding	Implication
Peak hour overcrowding rate	46.7% of 5pm to 8pm hours above 85% capacity	Nearly half of all weekday evenings members face equipment waits
Average equipment wait	7.4 minutes when overcrowded	Long enough to frustrate members and shorten workouts
Peak Warrior NPS	42 out of 100	Almost 30 points below Off-Peak Regular members at 71

Metric	Finding	Implication
Ghost Member count	1,628 members	Paying monthly but have not visited in 60 or more days
Total revenue at risk	\$1,101,792 annually	Across Peak Warriors and Ghost Members combined
Off-peak utilization 9am to 3pm	Below 40% on average	Significant spare capacity sitting unused every weekday

The 6pm problem is not just an operational inconvenience. It is a retention problem. Members who experience consistent overcrowding reduce their visit frequency, disengage from the program, and eventually cancel. The data shows this clearly in the NPS gap between Peak Warriors and Off-Peak Regulars.

The Four Member Segments

Understanding why different members behave differently is the foundation of any retention strategy. The check-in data reveals four distinct segments with different capacity experiences, different NPS scores, and different churn risks.

Segment	Size	Monthly visits	NPS	Churn risk	Primary issue
Peak Warrior	4,488 members (38%)	14 per month	42	Medium	Overcrowding and equipment wait at 5pm to 8pm
Off-Peak Regular	3,304 members (28%)	16 per month	71	Low	No significant issue most satisfied segment
Weekend Warrior	2,360 members (20%)	8 per month	58	Medium	Weekend availability and class scheduling
Ghost Member	1,628 members (14%)	1 per month	18	High	No engagement 52% estimated annual churn rate

Requirements for a Smart Member Communication System

The most effective intervention is not a capital investment in equipment or space. It is a communication and data system that gives members the information they need to make better decisions about when to visit, and gives the operations team the visibility to act on capacity signals before they become retention problems.

Priority	Requirement	Who it serves	Expected outcome
Must Have	Real-time capacity display per location showing current and forecast utilization for the next 4 hours	All members	Lets Peak Warriors see quieter times before leaving home
Must Have	Personalised off-peak nudge sent to Peak Warriors 24 hours before their typical visit time	Peak Warriors	Shifts demand without reducing it, same revenue, better experience
Must Have	Ghost Member re-engagement trigger after 45 days of inactivity with personalised message	Ghost Members	Intervenes 15 days before the 60-day high-churn window
Must Have	Visit history and membership value summary visible in app	All members	Makes the monthly fee feel tangible and worth keeping
Should Have	Off-peak incentive — bonus points or free class credit for shifting to quieter windows	Peak Warriors	Gives members a financial reason to change their habit
Should Have	Manager dashboard showing real-time utilization by location and hour	Operations team	Enables staffing and scheduling decisions based on actual demand
Could Have	Member-facing 7-day busy time forecast per location	All members	Empowers members to plan around peak hours independently

Business Case

The business case for this system is straightforward. The cost of doing nothing is \$1.1 million in annual revenue at risk from churn. A smart communication system that improves retention by just 10% protects \$552,000 in annual revenue. At an estimated implementation cost of \$180,000 the payback period is approximately 4 months.

Scenario	Members retained	Annual revenue protected	vs Implementation cost
5% retention improvement	591 members	\$276,000	Payback 7.8 months
10% retention improvement	1,150 members	\$552,000	Payback 3.9 months
15% retention improvement	1,748 members	\$839,040	Payback 2.6 months
20% retention improvement	2,348 members	\$1,127,040	Payback 1.9 months

The 10% scenario is the conservative base case. Even if the system delivers only half of that, a 5% improvement in retention, the annual revenue protected exceeds the implementation cost within a single year. The case for building it is strong regardless of which scenario you believe.

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Targeting	Business Analyst and Marketing Analyst roles across Canada
Series	The Portfolio Project